

5-1b Financial Statements

The differences between service and retail businesses are also reflected in their financial statements. For example, these differences are illustrated in the following condensed income statements:

Service Business		Retail Business	
Fees earned	\$ XXX	Sales	\$ XXX
Operating expenses	(XXX)	Cost of goods sold	(XXX)
Operating income	<u>\$ XXX</u>	Gross profit	\$ XXX
		Operating expenses	(XXX)
		Operating income	<u>\$ XXX</u>

The revenue activities of a service business involve providing services to customers. On the income statement for a service business, the revenues from services are reported as *fees earned*. The operating expenses incurred in providing the services are subtracted from the fees earned to arrive at *operating income*.

In contrast, the revenue activities of a retail business involve the buying and selling of merchandise. A retail business first purchases merchandise to sell to its customers. When this merchandise is sold, the revenue is reported as **sales**, and its cost is recognized as an expense. This expense is called the **cost of goods sold** (The cost of merchandise sold recognized as an expense; the cost of finished goods available for sale minus the ending finished goods inventory.)

or *cost of merchandise sold*. The cost of goods sold is subtracted from sales to arrive at gross profit. This amount is called **gross profit** (Sales minus the cost of goods sold.) because it is the profit *before* deducting operating expenses. The operating expenses are subtracted from gross profit to arrive at operating income.

Merchandise on hand (not sold) at the end of an accounting period is called **inventory** (Merchandise on hand (not sold) at the end of an accounting period.) or *merchandise inventory*. Inventory is reported as a current asset on the balance sheet.

Link to Dollar Tree

On a recent income statement, **Dollar Tree** reported the following (in billions):

Sales	\$ 22.8
Cost of goods sold	<u>(15.9)</u>
Gross profit	\$ 6.9
Operating expenses	<u>(7.9)</u>
Operating income (loss) ...	<u>\$ (1.0)</u>

On its balance sheet, it reported inventory of \$3.5 billion.

Comcast versus Lowe's

Comcast Corporation (CMCSA) is a service business that offers cable communications, broadcast television (NBC television), filmed entertainment (Universal Pictures), and theme parks (Universal Parks) to its customers. **Lowe's Companies, Inc. (LOW)** is a large home improvement retailer. The differences in the operations of a service and retail business are illustrated in their recent income statements, as follows:

Comcast Corporation
Condensed Income Statement
(in millions)

Revenue	\$ 108,942
Programming and production expenses	(34,440)
Selling and administrative expenses	(40,424)
Depreciation and amortization expenses	(12,953)
Operating income	<u>\$ 21,125</u>

Source: Comcast Corporation, Form 10-K for a Recent Fiscal Year Ended December 31.

Lowe's Companies, Inc.
Condensed Income Statement
(in millions)

Sales	\$ 71,309
Cost of goods sold	(48,401)
Gross profit	\$ 22,908
Selling, general, and administrative expenses	(17,413)
Depreciation expense	(1,477)
Operating income	<u>\$ 4,018</u>

Source: Lowe's Companies, Inc., Form 10-K for a Recent Fiscal Year Ended February 1.

As a retail company, Lowe's subtracts cost of goods sold from sales to disclose gross profit. As a service company, Comcast does not show cost of goods sold, nor a gross profit line. Rather, service expenses are subtracted from revenue straight to operating income.